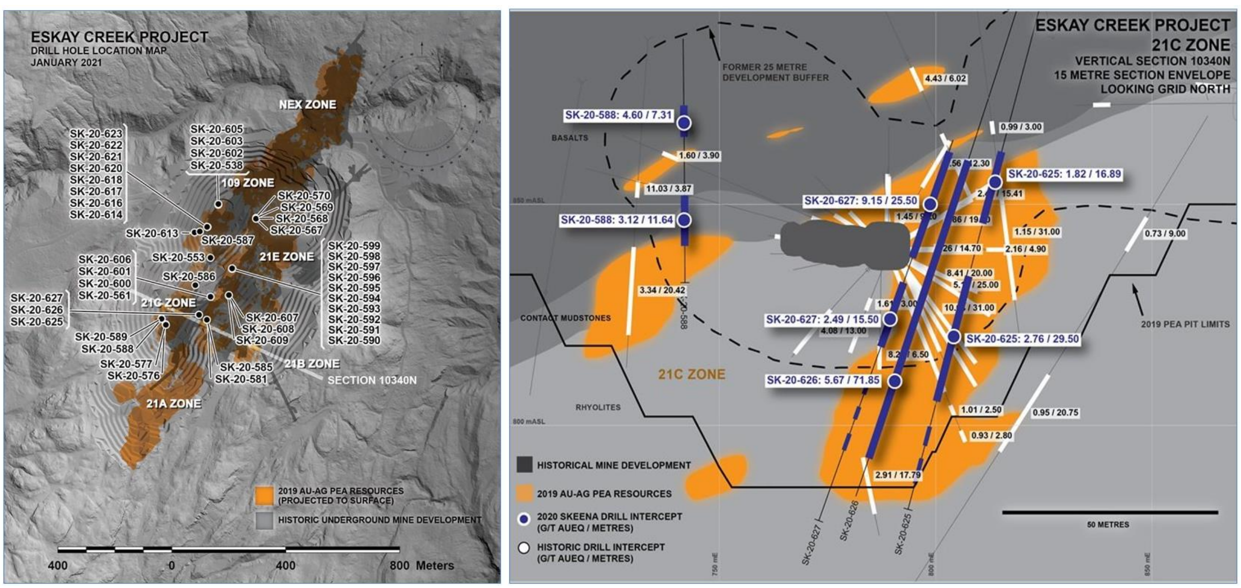
Ticker: SKE CN	**Net cash:** C$76m	**Project**: Eskay Creek
Market cap: C$702m	**Price:** C$3.24/sh	**Country:** Canada, BC
RECOMMEND. (unc): BUY	*TARGET (unc): C$4.30/sh*	*RISK RATING: HIGH*

In our view, today's infill drill results continue to demonstrate two key areas of upside to the PEA/our price target. Firstly, the infill drilling continues to capture high-grade vertical structures, which commonly fall between original holes at wider spacing, exemplified by infill intercepts of 2.8m @ 22.2g/t Au and 1,605g/t Ag. Secondly, the consistent thick intercepts in the 21C buffer drilling confirms the continuity and grade modelled within the 21C zone as well as beyond the former development buffer. Lastly, both Phase 1 and Phase 2 programs have demonstrated the strong conversion potential of inferred mineralization to indicated, as well as establishing first reserves in the upcoming PFS. ***We maintain our BUY rating and 0.6xNAV$_{5\%-1850-24}$ price target of C$4.30/sh.*** *As one of the few development assets in Canada with visibility on producing more than 150koz/yr, this de-risking should open up access to a material scarcity premium.*

Buffer drilling validates model with 71.8m @ 5. 7g/t AuEq; Phase 2 infill drilling complete

Phase 2 resource conversion drilling returned 71.8m @ 5.7g/t AuEq from the 21C zone, validating the continuity of gold mineralization beyond the former 25m development buffer, as corroborated by 25.5m @ 9.1g/t in a flanking drill hole (Figure 1). Additional higher grade highlights include 2.8m @ 22.2g/t Au, 1,605g/t Ag and 4.1m @ 23.1g/t Au, 613g/t Ag. The Phase 2 program is now complete with additional assays pending from 8 holes as six drill rigs are active in finalizing a 5,000m near-mine exploration program

Figure 1: (A) Eskay drill hole plan map and (B) vertical section 10340N through Zone 21C looking north



Source: Skeena

Why we like Skeena Resources

- Large high-grade open pit with SCPe >500koz upside potential in coming 12-18M
- Shift in market dynamics allows concentrate sales for lower capex
- Optionality from high-grade Snip mine nearby to blend concentrate or add ounces
- Recent engineering hires give strong well balanced geological and engineering teams
- Catalyst heavy with drilling, metallurgy, PFS and DFS in coming 18M

Catalysts

- 1Q21: First assays from ABX 25m now-removed buffer zone
- 1H21: Results from six rigs drilling 21A, 21B, 21C for PFS infill
- 1H21: 25 holes into 200 footwall at Snip

- 1H21/4Q21: PFS/DFS
- 1Q22/1Q24: Build start, first pour

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Equity Research

28 January 2021

Ticker: SKE CN	Price / mkt cap: C$3.24/sh, C$702m	Project PNAV today:	0.52x	Asset:	Eskay Creek / Snip
Author: B Salier/ B Gaspar	Rec / 0.6xNAV PT BUY, C$4.3/sh	$1xNAV_{1Q21}$ FF FD:	C$6.27/sh	Country:	Canada: BC

Commodity price	CY18A	CY19A	CY20E	CY21E	CY22E
Gold price	1,850	1,850	1,850	1,850	1,850

SOTP *project* valuation*	C$m	O/ship	NAVx	C$/sh
Ungeared proj. @ build start (2Q22)	1,558	100%	1.00x	6.40
Cash 3Q20 + raise	76	100%	1.00x	0.31
Cash from options	41	100%	1.00x	0.17
Snip (US$75/oz)	63	100%	1.00x	0.26
Asset NAV5% C$1850/oz	1,739			7.14
Shares diluted for options but not mine build	Market $P/NAV_{8\%}$ 2Q20			0.45x

Asset value: 1xNPV project @ build start (C$m, ungeared)*	$1750oz	$1850oz	$1950oz	$2050oz	$2150oz
Project NPV (C$m)*	$1750oz	$1850oz	$1950oz	$2050oz	$2150oz
10.0% discount	1,261	1,365	1,470	1,527	1,629
7.5% discount	1,420	1,537	1,655	1,723	1,837
5.0% discount	1,608	1,741	1,874	1,954	2,084
Ungeared project IRR:	98%	105%	111%	110%	116%
Project NPV (C$m)*	$1750oz	$1850oz	$1950oz	$2050oz	$2150oz
3.7g/t AuEq	1,310	1,429	1,549	1,668	1,787
4.1g/t AuEq	1,608	1,741	1,874	1,954	2,084
4.5g/t AuEq	1,858	2,000	2,142	2,285	2,427
NPV5 (C$m)*	$1750oz	$1850oz	$1950oz	$2050oz	$2150oz
Payability: 67%	1,310	1,429	1,549	1,668	1,787
Payability: 75%	1,608	1,741	1,874	1,954	2,084
Payability: 82%	1,858	2,000	2,142	2,285	2,427

**Project level NPV, excl finance costs and central SGA, discounted to build start*

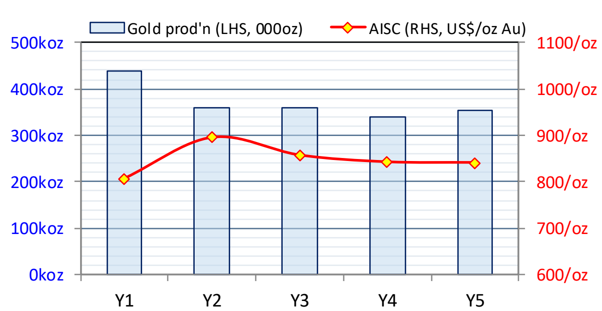
Group valuation over time^	1Q21	1Q22	1Q23	1Q24	1Q25
Eskay Creek (C$m)	1,484	1,558	1,780	2,038	1,689
Net cash prior qtr (C$m)	76	18	23	(153)	262
G&A and finance costs (C$m)	(84)	(83)	(82)	(73)	(54)
Cash from options (C$m)	41	41	41	41	41
Snip	10	10	10	10	10
NAV FF FD (C$m)	1,527	1,545	1,773	1,863	1,949
$1xNAV_{5\%}$/sh FF FD (C$/sh)	6.27^	6.34^	6.35*	6.68*	6.98*
Equity ROI from spot (% pa)		96%	57%	44%	36%

Geared company NAV diluted for mine build, net G&A and finance costs	$1750oz	$1850oz	$1950oz	$2050oz	$2150oz
2Q22 1xNAV FF FD (C$/sh)^	$1750oz	$1850oz	$1950oz	$2050oz	$2150oz
10.0% discount	4.80	5.21	5.62	5.85	6.25
7.5% discount	5.29	5.74	6.20	6.46	6.90
5.0% discount	5.86	6.36	6.86	7.16	7.65
Geared project IRR:	89%	95%	102%	101%	107%
2Q22 1xNAV FF FD (C$/sh)^	$1750oz	$1850oz	$1950oz	$2050oz	$2150oz
Payability: 67%	4.74	5.19	5.64	6.09	6.54
Payability: 75%	5.86	6.36	6.86	7.16	7.65
Payability: 82%	6.80	7.34	7.87	8.41	8.94

*^Project NPV incl grp SG&A & fin. cost, +net cash; *diluted for mine build equity*

Production	Y1	Y2	Y3	Y4	Y5
Gold production (000oz)	439	360	359	339	354
C1 cost (US$/oz)	793	859	826	813	798
AISC cost (US$/oz)	807	897	858	843	842

AISC = C1 + ug sustaining capex, Y1 = 12M to Dec 2024



Source: SCP estimates

Resource / Reserve	AuEq (koz)	AuEq (g/t)
Meas., indicated and inferred	3515koz	4.59g/t
Underground resource	236koz	6.59g/t
Snip	646koz	13.60g/t

Funding: uses		Funding: sources	
PFS capex	C$303m	SCPe 1Q20 cash + options cash*	C$59m
SCPe G&A to 1st Au + ABX $	C$15m	2Q20 raise	C$33m
SCPe pre-production expl'n	C$11m	Mine debt @ 60% gearing	C$212m
SCPe finance costs + wkg cap	C$71m	Mine build equity at 20% prem.	C$150m
Total uses	C$400m	Total proceeds	C$453m
**Cash from options expiring pre first pour*		Buffer	C$54m

Share data			
Basic shares (m)	216.8	FD with build equity raise	279.1
FD with options (m)	243.4		

Ratio analysis	CY18A	CY19A	CY20E	CY21E	CY22E
Average shares out (m)	91.3	107.3	146.6	170.7	185.2
EPS (C$/sh)	-	-	-	-	-
CFPS (C$/sh)	-	-	-	-	-
EV (C$m)	294.6	335.9	461.3	534.1	757.0
FCF yield (%)	-	-	-	-	-
PER (x)	-	-	-	-	-
P/CF (x)	-	-	-	-	-
EV/EBITDA (x)	-	-	-	-	-

Income statement	CY18A	CY19A	CY20E	CY21E	CY22E
Net revenue (C$m)	-	-	-	-	-
Gross profit (C$m)	**-**	**-**	**-**	**-**	**-**
D&A, attrib (C$m)	0.2	0.4	-	-	-
Admin (C$m)	4.3	4.5	5.0	5.0	5.0
Expensed exploration (C$m)	11.5	12.8	-	-	-
Finance cost (C$m)	(0.0)	(0.1)	-	-	(3.2)
Royalty (C$m)	-	-	-	-	-
Forex, other (C$m)	(0.5)	9.5	-	-	-
Taxes (C$m)	-	-	-	-	-
Net income (C$m)	**(15.5)**	**(27.1)**	**(5.0)**	**(5.0)**	**(1.8)**

Cash flow, attrib.	CY18A	CY19A	CY20E	CY21E	CY22E
EBIT (C$m)	(15.5)	(27.2)	(5.0)	(5.0)	(5.0)
Add back D&A (C$m)	0.2	0.4	-	-	-
Less tax + net interest (C$m)	(0.0)	(0.1)	-	-	(3.2)
Net change in wkg cap (C$m)	(1.4)	4.2	-	-	-
Add back other non-cash (C$m)	1.6	12.0	-	-	-
Cash flow ops (C$m)	**(15.1)**	**(10.5)**	**(5.0)**	**(5.0)**	**(1.8)**
PP&E - build + sust. (C$m)	3.2	0.6	-	(139.6)	(163.6)
PP&E - expl'n (C$m)	-	(0.2)	-	-	(10.7)
Cash flow inv. (C$m)	**3.2**	**0.4**	**-**	**(139.6)**	**(174.3)**
Share issue (C$m)	12.0	22.1	-	150.0	-
Proceeds from sale (C$m)	-	-	-	-	-
Debt draw (repay) (C$m)	-	-	-	70.6	141.2
Cash flow fin. (C$m)	**12.0**	**22.1**	**-**	**220.6**	**141.2**
Net change in cash (C$m)	0.1	12.0	(5.0)	76.0	(34.9)
EBITDA (C$m)	(15.4)	(26.8)	(5.0)	(5.0)	(5.0)

Balance sheet	CY18A	CY19A	CY20E	CY21E	CY22E
Cash (C$m)	1.1	13.1	18.1	94.1	59.2
Acc rec., inv, prepaid (C$m)	3.7	2.8	5.2	5.2	5.2
PP&E + other (C$m)	19.7	8.5	14.2	153.8	328.1
Total assets (C$m)	**24.6**	**24.4**	**37.5**	**253.1**	**392.5**
Debt (C$m)	-	1.5	4.5	75.1	216.3
Accounts payable (C$m)	1.4	4.1	11.8	11.8	11.8
Others (C$m)	4.6	7.2	6.2	6.2	6.2
Total liabilities (C$m)	6.0	12.8	22.4	93.0	234.2
Sh'hlds equity + wrnts (C$m)	81.6	99.2	131.2	281.2	281.2
Retained earn'gs + rsvs (C$m)	(63.0)	(87.6)	(116.1)	(121.1)	(122.9)
Liabilities + equity (C$m)	**24.6**	**24.4**	**37.5**	**253.1**	**392.5**

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HOLD:	0
SELL:	0
UNDER REVIEW:	0
TENDER:	0
NOT RATED:	0
TOTAL	29

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